Massey University Investment Club

The Rising Cost of Ageing: Challenges for NZ Superannuation

(Week ending Feb 27, 2026)

About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by members of MUIC to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

Contact Information

: investment@akl.muclubs.ac.nz

: MUIC_Linkedin

: MUIC_Instagram

Committee Members

Wenqi Zhang	President
Jordan Wilson	Secretary
Thu Ngo	Secretary
Khant Min Zin	Treasurer

NZ economic Snapshot

OCR: 2.25% (On Hold)

Inflation: 3.1% YoY

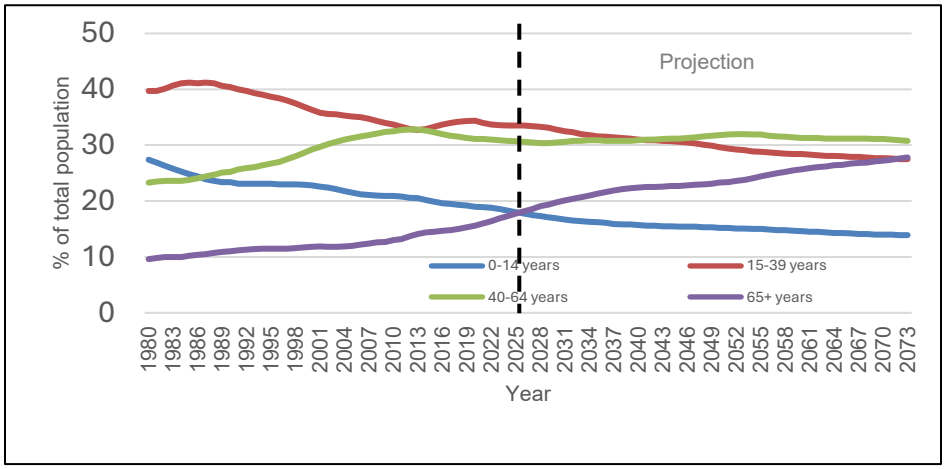
Unemployment rate: 5.4%

New Zealand is facing a serious ageing population issue. People are living longer, and fertility rates are falling. This means that the proportion of people aged 65 and above is increasing, while the number of working-age people is shrinking.

New Zealand provides a universal public pension called New Zealand Superannuation (NZ Super). It is funded by current taxpayers and paid to eligible residents aged 65 and above. By this system, everyone who qualifies receives the benefit regardless of income or wealth.

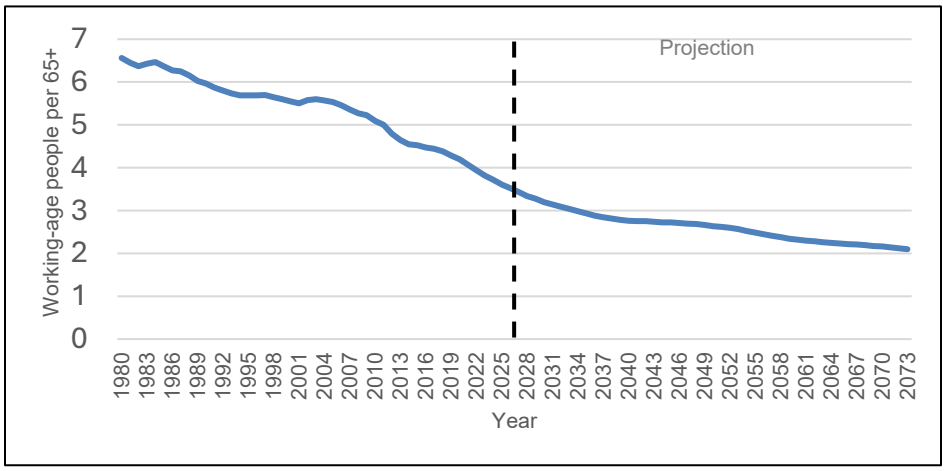
Although this system provides security for retirees, it creates fiscal pressure as the population ages.

Figure 1: Percent of NZ total population by age groups



Source: Stats NZ,

Figure 2: Number of working-age people per 65+



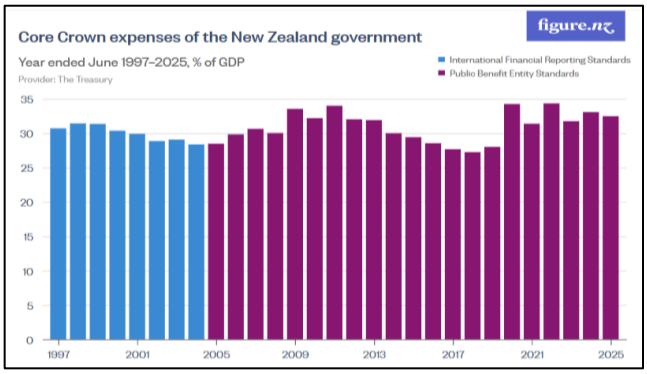
Source: Stats NZ

Note: By dividing the 15-64 years population by the 65+ population

Possible Impact on the Government

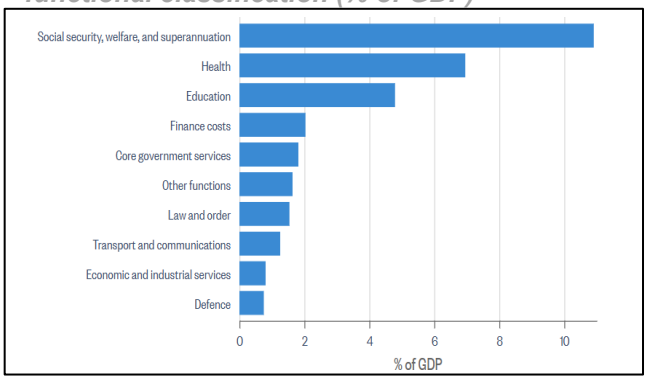
New Zealand's ageing population is already increasing pressure on Crown finances. According to the recent Budget data, Core Crown expenses are around 33-34% of GDP, significantly higher than pre-COVID levels. A growing share of this expenditure is largely driven by superannuation.

Figure 2: Core Crown Expense (% of GDP)



Source: The Treasury, Figure.nz

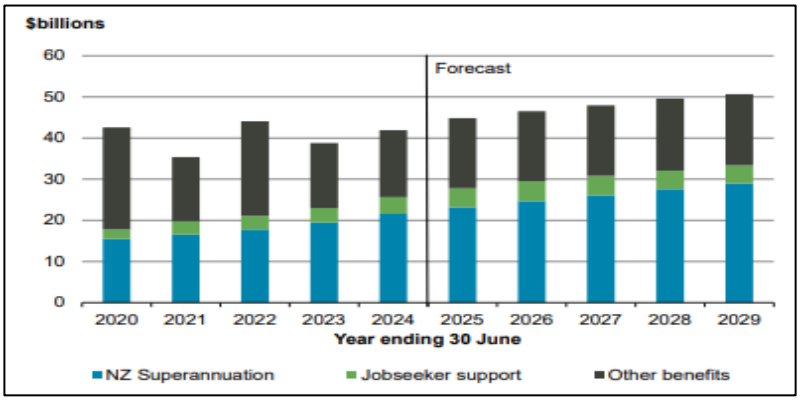
Figure 3: Core Crown Expenses by functional classification (% of GDP)



Source: The Treasury

Spending on New Zealand Superannuation is projected to rise steadily as the population ages. Current annual spending on NZ Super is over 20 billion per year, and long-term projections show that this figure will increase substantially as more people reach 65. According to the Grey Wave Report by RBNZ, as a percentage of GDP, superannuation costs are expected to increase over the coming decades due to demographic change.

Figure 4: Transfer payments by type



Source: The Treasury

At the same time, fewer working-age people are available to fund these expenses through taxation. The RBNZ's Grey Wave report highlights that age-related fiscal spending, particularly health and pensions, will put sustained pressure on government budgets.
If these trends continue, rising superannuation costs could squeeze out other spending areas such as education and infrastructure. The government may face difficult conflicts between higher taxes, higher debt, or reduced public services in order to maintain fiscal sustainability.

Possible Impact on Current Workers

For current workers, increasing Crown expenses means a smaller working population must support a growing retired population. As superannuation spending rises beyond 20 Billions and continues increasing over time, tax pressure may increase in the future.

With fewer workers per retiree, the tax base shrinks while expenditure commitments expand. This raises concerns about intergenerational fairness, as younger generations contribute to a system that may become less sustainable when they retire.

Possible Solutions

According to research from Simplicity Research Hub, there are practical and realistic ways to improve New Zealand's retirement system without suddenly cutting benefits.

Strengthening the KiwiSaver policies plays a bigger role in supporting retirement income. It can be strengthened by:
(1) Separating employer and employee contributions
(2) Gradually increasing contribution rates
(3) Allowing better access during financial hardship
(4) Redirecting government contributions toward children

In addition to that, implementing long-term reform of NZ Super can impact on protecting the potential pension crisis. Gradual movement toward a more targeted or needs-based pension system could also improve sustainability. However, this could only be done by bipartisan agreement because pension reform could be political suicide for the party in control.

Additional Structural Solutions

Beyond solutions proposed by Simplicity, there are broader economic strategies that could help reduce the long-term fiscal burden of an ageing population.

If productivity can be increased, it would reduce government spending on superannuation relative to GDP, making the burden more manageable. Higher productivity can come from technology adoption, education, capital investment, and innovation. However, productivity improvements require long-term investment and structural reforms, and results may take time to be seen.

Another approach is to increase the labour force. The government has been easing immigration policies to attract foreign professionals, which can help expand the working-age population and strengthen the tax base. However, it is also important to encourage young New Zealanders to stay and work locally, as osing domestic talent continuously may weaken long-term growth. While expanding labour force can ease fiscal pressure, it may also create challenges such as housing and infrastructure strain. Therefore, careful balance is needed.

Conclusion

New Zealand's ageing population creates serious fiscal and intergenerational challenges. Rising superannuation spending and healthcare spending, together with a declining working-age population, will generally increase pressure on Crown finances and future taxpayers.

Although the situation is not yet a crisis, demographic projections show that the burden will intensify over time. In the long run, sustainable reform will likely require a combination of pension adjustment, encouraging KiwiSaver savings, higher productivity, and stable labour force growth.

Early and effective action is essential to ensure that the retirement system remains fair, sustainable, and beneficial for future generations.